

What are we doing?

Most edges in retail and prop trading:

Looking for a pattern, or behavior, that we think might be recurrent, is not noise, and therefore possibly predictable.

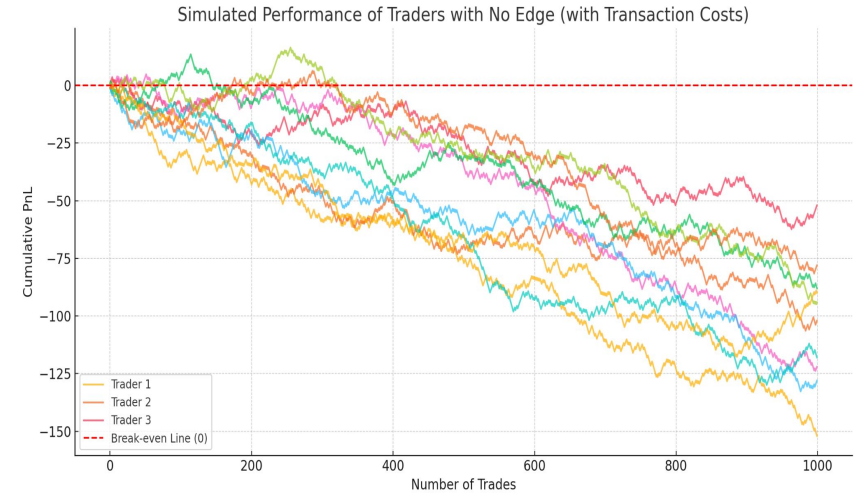
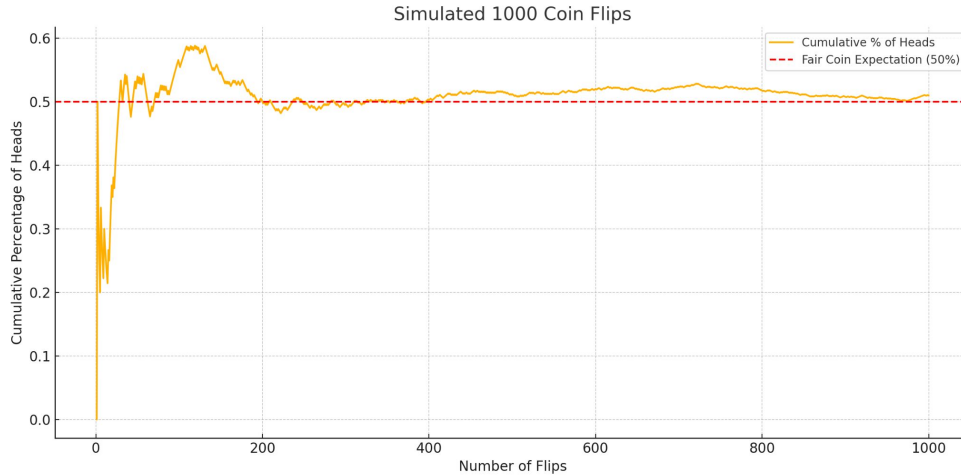
A **trading edge** is anything that gives you a consistent advantage in the markets. It can be a **strategy**, a **skill**, or even a **personality trait**, like discipline or patience, that helps you win more often, win bigger when you do, or lose less when you're wrong.

For example:

- A **news trader** prepares in advance for how price might react to certain announcements and acts faster than others when news hits.
- A **risk-focused trader** always cuts losses at -5% and only takes profits at +15%, giving them a consistently favorable risk/reward edge.
- A **high-frequency trader** uses speed and technology to capture small, repeated profits through automation.
- A **pattern-based trader** waits for a specific recurring setup that, over time, statistically leads to profitable moves.

At its core, an edge is about stacking the odds in your favor — whether through planning, execution, or psychology.

The red dashed line marks the expected value for a fair coin (50%). You can see how the results fluctuate early on and gradually start to hover around the 50% line, illustrating how randomness behaves over time, messy in the short term, but evening out in the long run.



No edge = Negative edge.

Don't be fooled by short term success.

RISK MANAGEMENT AND POSITION SIZING IS NOT OPTIONAL....

	Payoff Ratio 1:1	PR 2:1	PR 3:1	PR 4:1	PR 5:1
Win Ratio 10%	100%	100%	100%	100%	99.96%
Win Ratio 15%	100%	100%	100%	100%	96.9%
Win Ratio 20%	100%	100%	100%	59.92%	0.0484%
Win Ratio 25%	100%	100%	51.7%	0%	0%
Win Ratio 30%	100%	100%	0%	0%	0%
Win Ratio 35%	100%	0.70%	0%	0%	0%
Win Ratio 40%	100%	0%	0%	0%	0%
Win Ratio 45%	100%	0%	0%	0%	0%
Win Ratio 50%	100%	0%	0%	0%	0%
Win Ratio 55%	0%	0%	0%	0%	0%
Win Ratio 60%	0%	0%	0%	0%	0%
Win Ratio 65%	0%	0%	0%	0%	0%
Win Ratio 70%	0%	0%	0%	0%	0%
Win Ratio 75%	0%	0%	0%	0%	0%
Win Ratio 80%	0%	0%	0%	0%	0%
Win Ratio 85%	0%	0%	0%	0%	0%
Win Ratio 90%	0%	0%	0%	0%	0%

(rant)

Edge we are looking to explore.

Daily Open Entry During NY session

Conditions and qualifiers:

Bull trend defined by Price trending above 30 day rolling vwap and 10 period SMA

Idea:

Trend follower entry GTC orders left at level offer + active participants buying at level.

Risk: 50 basis points

Return: 2x

Basics that we want to record as a start: Market, entry type, R:R, W/L, MAE, MFE, PNL, Time in trade, Context.

Trading Edge Validation Template

1. Setup Overview

Setup name	A unique name or label you give this edge
Direction bias	Long / Short / Both
Market(s) traded	BTC, ES, NQ, ETH, etc.
Trigger condition	What signals entry? Footprint? Sweep + absorption? Range breakout?
Context required	Vol regime, time of day, news, structure, etc.
Invalidation logic	What makes this setup invalid?
Entry style	Aggressive / Passive / Hybrid
Exit criteria	Fixed target, structure-based, trailing, etc.

2. Performance Metrics (Sample-Based)

Sample size (n)	Number of trades tested
Win rate (%)	Trades that hit target / total
Avg R:R	Average reward:risk per trade
Expectancy (avg R per trade)	$[\text{Win}\% \times \text{avg win size}] - [\text{Loss}\% \times \text{avg loss size}]$
Std dev of outcomes	Are outcomes consistent or lumpy?
Max drawdown (R or %)	Peak-to-trough pain during test
MAE / MFE stats	Helps refine stop and target logic
Time to resolution (avg)	How long does trade take to resolve?
Strike rate by session	Which session performs best?
Setup frequency (per week)	How often it appears - matters for scalability

3. Qualitative & Contextual Observations

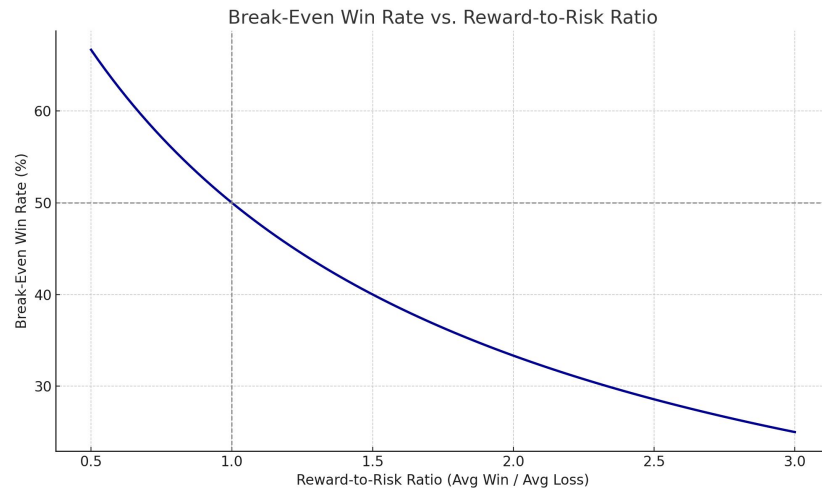
When does this setup fail?	List patterns in bad trades
When does it work best?	List ideal market conditions
Challenges you had?	Hard to Hold, Overtraded, etc
Execution notes	Any issues entering, slippage, etc.
Could this be automated?	Is it rules-based enough?
Scalability potential?	Would slippage affect this? Does size hurt it?

Given:

- Total trades: 7
- Wins: 6
- Losses: 1
- Win rate = $6/7 \approx 0.857$ 0.85776
- Loss rate = $1/7 \approx 0.143$ approx 0.14371
- Avg win = 138 basis points = 1.38%
- Avg loss = 66 basis points = 0.66% (slippage included)

Expected Value per trade $\approx +1.09\%$

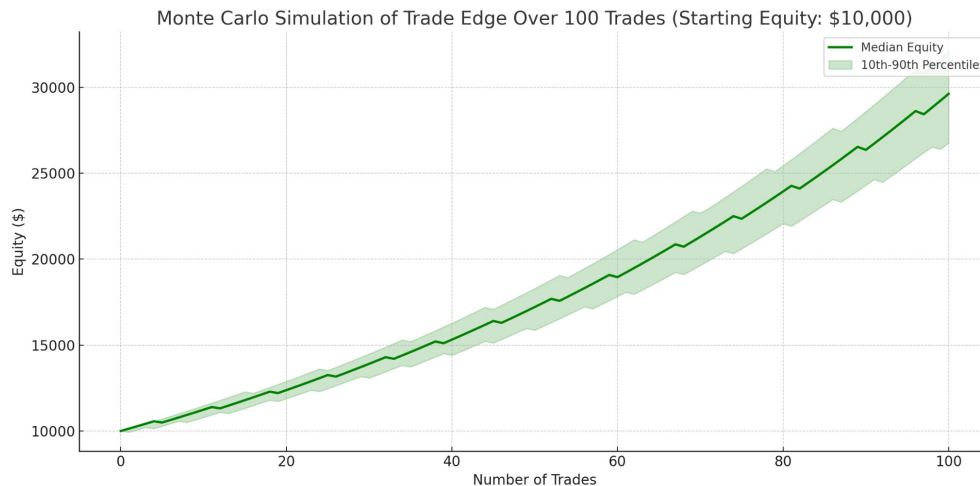
That's a strong positive edge—especially with a high win rate and reward-to-risk ratio.



The curve shows how the required win rate drops as reward-to-risk improves.

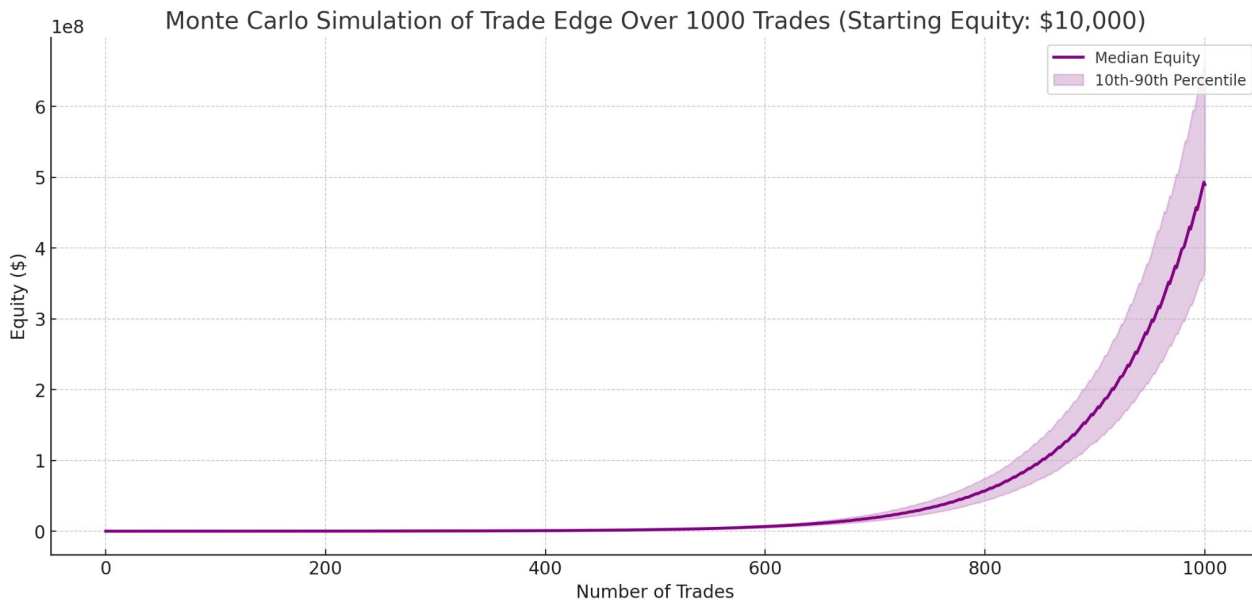
At the current ratio (~2.09, from 138 bps / 66 bps), the break-even win rate is just ~32.35%.

A reward-to-risk of 1:1 would require a 50% win rate (marked by the vertical and horizontal dashed lines).



Monte Carlo simulation starting with a \$10,000 portfolio:

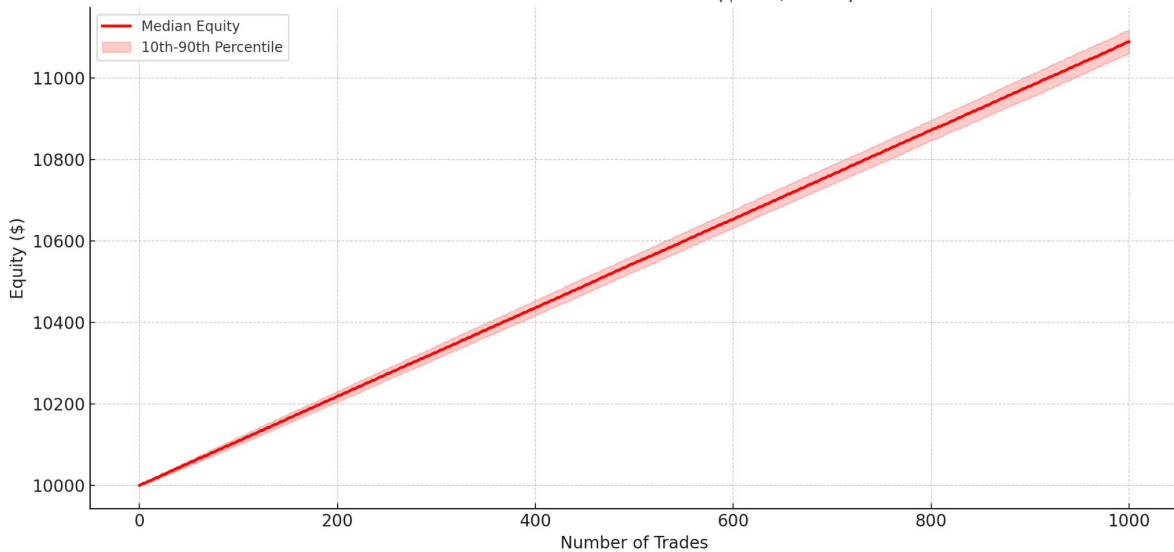
- Median equity grows to nearly \$30,000 after 100 trades.
- The shaded area captures the 10th to 90th percentile range, reflecting possible drawdowns and variance in outcome.
- This models how your edge could scale when deployed with real capital and compounding.



1000-trade simulation starting with \$10,000:

- The median equity grows exponentially due to compounding the 1.09% edge over many trades.
- Some outcomes cross **\$400,000–\$600,000+**, with even the 10th percentile well above starting capital.
- There's **volatility**, but the consistency of the edge drives strong long-term growth.

Monte Carlo Simulation with Fixed Trade Size (\$100/trade) Over 1000 Trades



Monte Carlo simulation with fixed trade size (\$100 per trade) over 1000 trades:

- Each trade wins or loses a fixed dollar amount based on your edge (not compounding).
- The median portfolio grows steadily, reaching ~\$16,000–\$18,000 by the end.
- Unlike the compounding version, this approach limits exponential growth but also reduces volatility and drawdown risk.

Tradestream part.